

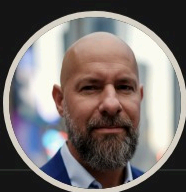
47%

TODAY

OF BROKEN POST-LOI DEALS DIED ON DILIGENCE FINDINGS IN 2025

Deals don't die at price anymore. They die in diligence.

Ten pages on what that costs — and on what it predicts about the integration you are about to inherit.



Paul Baker

Buy-side corporate development

SWIPE →

47%

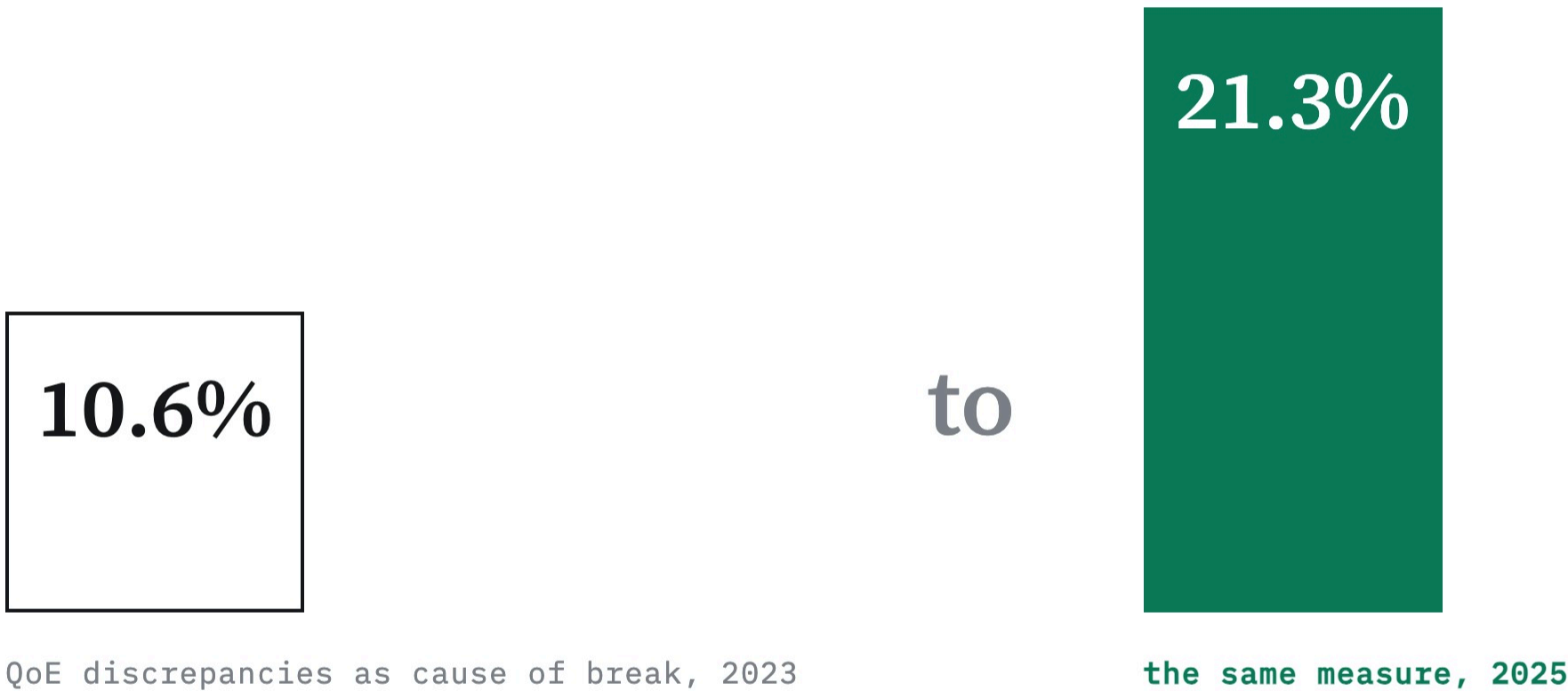
of broken post-LOI deals died on diligence findings.

That is 75 transactions in the lower middle market, reported by the members of a marketplace rather than observed independently — and the marketplace sells access to the intermediated channel it is measuring, so the number should be read as the channel describing itself. It is also the only recent series anybody publishes on why lower-middle-market deals break after exclusivity, which is why it opens the argument rather than being left out of it. Treat it as the shape of the problem and not as a national rate.

Axial Dead Deal Report, 75 transactions, 2025

THE KILLER MOVED

Quality of earnings overtook financing as the cause of death.



Over exactly the same period the movement ran the other way on money: financing-driven breaks fell from 21.3% to 10.7%. The two lines crossed. Whatever else is true about this market, the binding constraint on getting a deal closed is no longer whether the capital shows up — it is what the capital finds when it looks. Same publisher as the figure above, same member-reported sample, same commercial interest.

Axial Dead Deal Report, 2023–2025

THE BILL

A dead deal costs \$25–50K before it is dead.

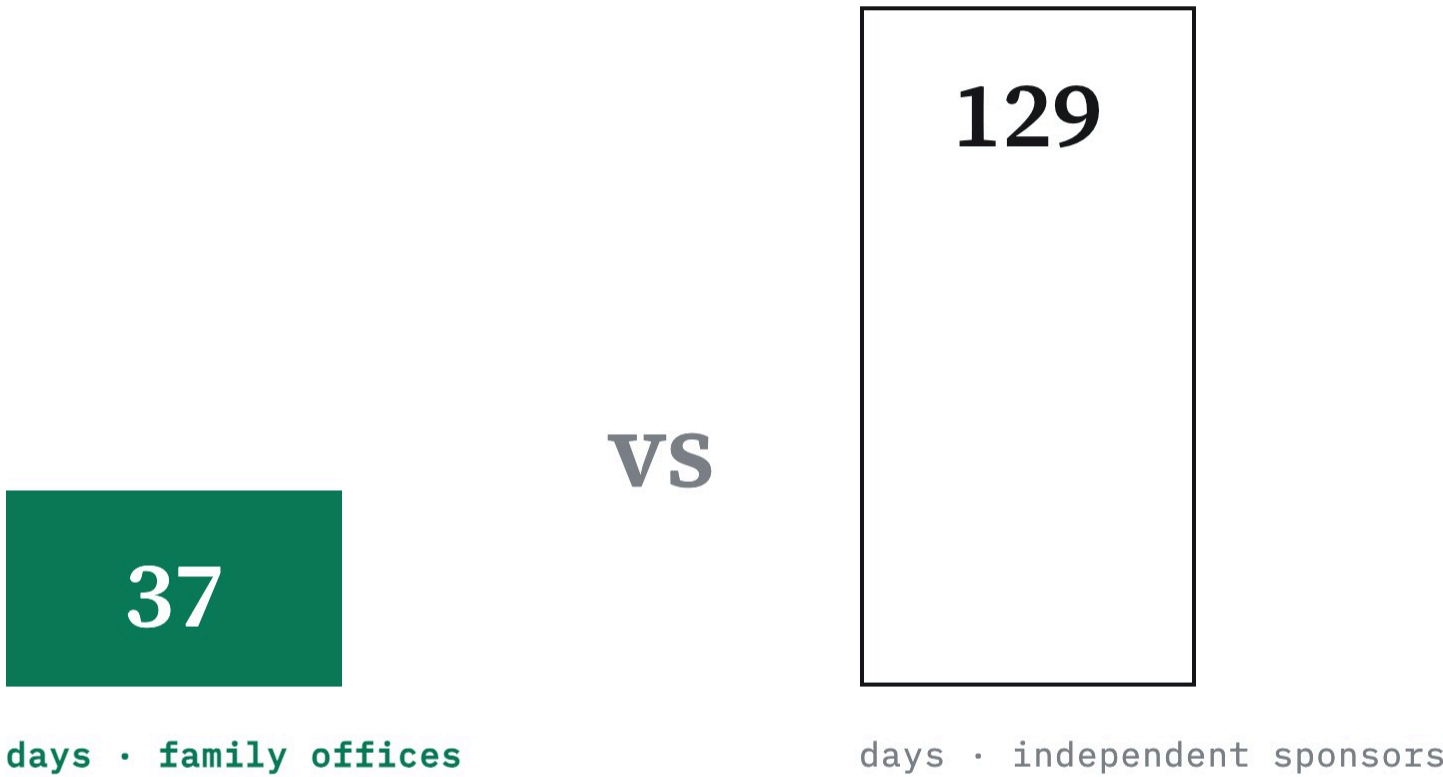
That is quality of earnings alone at lower-middle-market sizes, with legal on top and the ranges varying by provider — and the shops publishing these figures are the shops selling the work, which is worth knowing before the range is treated as a benchmark. The sting is in what the spend buys when it works: one sponsor, reporting through the same marketplace, had a QoE surface an EBITDA gap of between \$265K and \$594K. They found it after paying for it. That is the good outcome. The bad one is paying for the QoE and closing anyway.

Axial member reporting; QoE provider pricing, 2025

04

TIME UNDER EXCLUSIVITY

How long each buyer sits before a deal dies.



The two not drawn here sit between them : corporates at 125 days and private equity funds at 106 . The spread is not a discipline story and it should not be read as one . A family office walking at 37 days has somewhere else to put the money and nobody to answer to about the quarter ; an independent sponsor at 129 has neither , and the cost of walking is the cost of starting the search again . Bench depth sets the clock .

Axial Dead Deal Report, 2025

THE UNCOMFORTABLE PART

The findings were there before the LOI.

Owner dependence . Customer concentration . Add-backs that do not survive scrutiny . A working capital peg built on the broker's normalisation instead of on actuals . None of the four is exotic , none of them requires a data room to suspect , and all four are routinely priced as though they were discovered rather than as though they were always going to be there . What exclusivity buys is confirmation . What it is often spent on is discovery .

smbX, from the four findings named across the Axial breaks

06

THE SEAM

A finding you didn't price doesn't disappear at close. It moves.

This is the part that makes dead-deal data worth reading even when your deal closes . The same four findings that kill a transaction in exclusivity are the four that wreck an integration when the transaction goes through anyway . Owner dependence becomes a retention problem in month three . Concentration becomes a revenue cliff at renewal . Unsupported add-backs become a gross-margin miss . A peg built on normalised numbers becomes a working-capital call . The finding does not go away because you decided to proceed — it changes which budget it lands in .

smbX, 2026

THE HONEST PAGE

Does pre-LOI screening actually reduce break rates? Nobody has shown it.

The vendors selling screening say yes, and they would. No causal study exists — not a controlled one, not a longitudinal one, not one at all. So the defensible position is narrower than the one being marketed to you: screening is cheap relative to a dead deal, and its payout is unproven. That is the truthful state of the evidence and it is the reason this page is in the deck rather than quietly left out. A claim this convenient should be the one you interrogate hardest.

smbX evidence review, 2026 — no causal study located

08

BEFORE THE LOI

Three questions, asked at day four instead of day sixty.

Do the add-backs survive a quality of earnings? Not "are they explained" — do they survive somebody hostile with the general ledger open. Does the revenue survive the owner's exit? Name the accounts that leave with them and price the deal without those accounts. Is the working capital peg built on actuals? A peg assembled from the seller's normalised presentation is a number you will renegotiate at close, from the weaker position, with the money already spent.

smbX, 2026

09

FOR THE ACQUIRER

The price is set at close. What you actually paid is settled later.

For those who have had a deal die in exclusivity : which finding killed it — and could you have seen it at day four? I read everything .



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FOLLOW